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Italy: The Good, the Bad and the Ugly

In early June 2015, Matteo Renzi, the prime minister of Italy, worried how the latest round of local election results would affect his ambitious 1,000-day reform agenda. Just 16 months earlier, Renzi became the youngest prime minister since unification. Like his predecessors, Renzi understood that he needed to reduce the national debt and jump-start the country's sluggish growth. However, in order to do so, Renzi would have to push through politically challenging reforms, overdue for decades.¹

The characteristics of the Italian economy were well-known, ranging from the good and the bad to the ugly. On one hand, Italy had several impressive strengths. The nation was the third-largest economy in the European Union (EU) and the eighth-largest in the world, with a GDP per capita (PPP) of \$35,276 and a larger manufacturing base than that of France or the United Kingdom (see **Exhibit 1**).² With a reputation for design and quality, personified by the desirable "Made in Italy" sobriquet, Italy was a strong exporter. Additionally, Italy's population of over 60 million was blessed with high savings and low debt. Despite holding office for just over a year, Renzi had already introduced important reforms encompassing the labor market, parliamentary system, and financial sector.

On the other hand, Italy was famous for its inefficient bureaucracy, slow-moving judicial system, and corruption. The country's business landscape was dominated by small firms that often lacked the financing opportunities, managerial expertise, and strategic vision to expand into global markets. Furthermore, Italy struggled with an aging population, a relatively poor education system, rising income inequality, and a marked division in regional prosperity between the North and the South.

To make matters more difficult, the Italian economy also faced issues that could only be described as ugly. Italy's debt had crept up to €2 trillion (132% of GDP). The debt was made even more alarming by the poor performance of Italy's fundamentals: the economy had contracted more than the rest of the euro area following the financial crisis of 2007–2008, and investment remained low (see **Exhibit 2**). The country was also on the brink of deflation, and productivity figures had been falling consistently for over two decades. Unemployment measured 13% overall, reaching 43% for youth.³

As support for the Democratic Party wavered during the May 2015 regional elections, Renzi wondered, could he maintain the political support needed to successfully introduce structural reforms and get Italy's debt under control? With its long list of problems, would Italy make it?

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Background

Italy had a population of nearly 61 million and a life expectancy of 82 years, two years greater than the OECD average. However, Italy had one of the lowest birth rates in the world. The fertility rate measured just 1.4 births per woman, below the country's replacement rate (see **Exhibit 3**). Due to its aging population, Italy struggled with low domestic demand and high spending on pensions. Yoram Gutgeld, an economic advisor to Renzi and government spending review commissioner, explained that these costs had been rising since the 1970s: "We used to have an entirely contribution-based system, but it was changed in the 1970s so people could go on pension at 34, 35 years old. The number of pension holders went up from 10 million to 17 million, while spending rose from 6% of GDP in 1970 to what it is now at 17%."⁴

Immigration Rapid growth of immigration prevented Italy's population from declining. Between 2000 and 2010, Italy's immigrant population doubled from 2.1 million to 4.5 million, many of whom were asylum seekers.⁵ Libya served as a major point of departure for asylum seekers from Eritrea, Syria, Somalia, and a number of Sub-Saharan African nations, and due to its extensive borders on the Mediterranean coast, Italy received the bulk of the arrivals trying to enter Europe. It was estimated that 45,000 illegal migrants had arrived in Italy in the first half of 2015.⁶

As the number of asylum seekers increased, many Italians believed they were unfairly burdened with the influx of migration, while the rest of Europe ignored the crisis. In October 2013, the Italian government launched Operation Mare Nostrum, a year-long naval and air operation focused on search and rescue missions. Initially, Operation Mare Nostrum cost the Italian government €2 million per month, but jumped to €9.5 million.⁷ In late 2014, the operation was replaced with Triton, a cheaper, EU-run program focused on patrolling, but critics complained that the death toll increased nearly tenfold after the transition.⁸ To address the influx, the European Commission (EC) submitted a proposal for 20,000 asylum seekers to be distributed across the EU, but France, Spain, and the U.K. rejected the quota system. Within Italy, the influx of immigrants was also met with staunch opposition as the nation's economy remained sluggish and the unemployment rate high.

Income inequality During the 1990s, income inequality grew swiftly in Italy. Italy had a Gini coefficient of 0.32 (an index where 0 equals complete equality and 1 equals complete inequality), up from a low of 0.28 in 1991.⁹ In 2013, over 28% of Italian residents lived at risk of poverty or social exclusion. Italy's inequality also had a strong geographical component; the North experienced a Gini index of 0.29, as compared with 0.34 in the South.¹⁰ The rest of the EU had a Gini coefficient of 0.31¹¹

Geographical divide Historically, Italians held strong local loyalties, limiting mobility. More than two-thirds of young adults lived with their parents, a trend accelerated by the high youth unemployment rate. Among married couples, it was also common to remain living in the same city as their parents. Even when offered higher-paying jobs, Italians were often unwilling to relocate.

Since reunification and achieving statehood in 1870, Italy experienced a wide geographical divide between the North and the South of the country. The South, or *mezzogiorno*, had consistently performed significantly worse than the North on a number of indicators, from unemployment rates to per capita GDP. Organized crime was also higher in the *mezzogiorno*, scaring away potential investment opportunities and creating a substantial informal economy. CEO of BlackRock Italy, Andrea Viganò, commented, "There is a deep divide between the North and Center-South of Italy. There are staggering numbers of unemployment for Italians under 30—it's 30% unemployment nationwide, but it's even higher in southern Italy. There's essentially the risk of a lost generation there" (see **Exhibit 4**).¹² When

comparing the North and the South of Italy, former Prime Minister and former President of the European Commission Romano Prodi concluded, “It’s almost like two countries.”¹³

From World War II to United Europe

Before World War II, Benito Mussolini, the head of the *Partito Nazionale Fascista* (National Fascist Party), established a dictatorship over Italy, beginning in 1925. By 1940, Mussolini had brought Italy into World War II in support of Germany. When the Allies invaded Sicily in July 1943, an anti-fascist movement, known as the *Resistenza*, broke out. The *Resistenza* was led by a number of parties that would later control the post-war parliament, including the Communists (later formed as the *Partito Comunista Italiano*, PCI), the *Partito Socialista Italiano* (Socialist Party, PSI), and the *Partito Popolare Italiano* (PPI – that later became the *Democrazia Cristiana*, DC). In 1945, the Germans surrendered, and Mussolini was subsequently shot. On June 2, 1946, Italy held its first popular referendum; the monarchy was replaced with a democratic republic, while a new constitution, which limited the powers of the executive, established the framework for a bicameral parliamentary system.

The Senate and the Chamber of Deputies equally shared legislative powers, while members of Parliament were elected by a proportional system. Since a single party rarely won the majority of votes and coalition governments were common, small parties could hold a large degree of control by either joining or withdrawing from a majority coalition. Francesco Starace, CEO of ENEL, a state-owned energy firm, explained, “The institutional framework Italy had after the war was designed to be a very balanced one so that an episode like Mussolini wouldn’t repeat itself. It was a checks-and-balances system. It worked okay until the world began to accelerate.”¹⁴ Due to this system, however, Italy experienced numerous short-lived governments, making it politically difficult to pass reforms, hindering Italy’s competitiveness.

In 1948, the DC party won its first parliamentary majority, sparking a 50-year period of dominance over Italian politics. It garnered the tacit approval from the Catholic Church, which shared the belief that excessive wealth was immoral and prosperity should be spread equally. Ronald Spogli, former U.S. ambassador to Italy and San Marino, described the impact this mindset would have on later generations: “There is a concept that there was an unholy alliance between the Catholic Church and the Communist Party. If you don’t believe in markets or wealth creation, that these are necessary to create resources, you’re not going to value economic growth because you’ll view it as something inherently undesirable.”¹⁵ Bruno Rovelli, head of investments at Blackrock Italy, agreed: “Italian society has had an anti-capitalistic vein that has often combined with a suspicion of meritocracy.”¹⁶

During the Second World War, Italy’s infrastructure was severely damaged. Yet the economy quickly rebounded, and until the end of the 1980s, Italy acted as a leading exporter of manufactured goods, becoming one of the world’s fastest-growing nations. The 1950s gave birth to the “Italian miracle,” a period of swift growth that shifted the economic focus from agriculture to manufacturing. This “miracle” brought prosperity to the northern and central regions, while southern Italy remained dependent on agriculture, deepening the geographical divide. Notwithstanding a small number of successful and wealthy private firms that emerged after the war, there were few large, publicly traded groups. Italian companies were primarily private, small, and operated by their founding families in niche markets. Taking advantage of Italy’s proximity to Europe, these small firms focused on producing textiles, machinery, and food processing for export.

In post-war Italy, the state played a major role in the economy. The *Istituto per la Ricostruzione Industriale* (IRI), set up by Mussolini to combat economic depression by nationalizing major parts of the country’s industry, continued to dominate core sectors. Large state-owned enterprises spanned the

transportation, telecommunications, utilities, steel, coal, and petrochemical industries. National monopolies included ENI (oil), ENEL (electricity), and SIP (telecom). Eventually the state owned 70% of the large industry in the *mezzogiorno*. While this allowed infrastructure to be developed and capital to be allocated via the state's industrial policy, it did not promote the growth of the financial system.

By the 1960s, the labor market had tightened and industrial relations soured, bringing bitter social conflict as industrialists confronted increasingly militant unions.¹⁷ During the 1970s, mounting social strain and the radicalization of political positions resulted in the emergence of terrorist groups. In 1970, new labor legislation, known as the Workers' Statute, introduced rigid rules for hiring, firing, and unionization rights for firms with more than 15 employees. Under strong pressure from the unions, price indexation of wages was introduced in 1975, feeding a sharp acceleration of inflation and a rapid increase in workers' pay, well in excess of productivity gains. With the aim of maintaining real income, employment, and production, Italy increased public expenditure, which, compounded with generous pension and health benefits, created growing budget deficits.

In the mid-1980s, Italy experienced a second "economic miracle" fueled by the nation's small and medium enterprises (SMEs), which exported clothing, leather products, shoes, furniture, textiles, agricultural machinery, machine tools, and jewelry. By 1986, Italy's GDP was 9% higher than that of Great Britain. However, large fiscal imbalances, inefficient economic policies, corruption, and a costly welfare system brought the budget deficit to 12% of GDP by 1985, levelling off to about 10% of GDP for the rest of the decade. As a result, Italy's debt-to-GDP ratio ballooned from 56% in 1980 to 98% in 1990.

Changes of the 1990s

By the early 1990s, Italy was dealt a series of destabilizing blows. The collapse of the Soviet Union in 1989 meant the elimination of one of Italy's most important trade partners; Italy ran deficits in both the trade balance and current account in 1991 and 1992. The fall of communism also rocked the foundation of the Italian political system. The political dominance of the DC crumbled as people realized that the "automatic collusion in the corrupt practices of the DC and its coalition partners could no longer be perceived as a requirement for the survival of liberal democracy in Italy."¹⁸ The DC's dominance ended in 1992, following a series of corruption investigations known as "Clean Hands," which uncovered an "institutionalized system of bribes" through which profits from state-owned and private enterprises had flowed directly into the hands of political officials.

In 1992, Italy and 11 other European Community nations signed the Maastricht Treaty. At the time, the public sector debt had grown to 124.9% of GDP, while GDP growth had slowed to 0.6%. Moreover, productivity had begun to decline. The Treaty, however, established strict criteria for membership in the Monetary Union: a budget deficit less than or equal to 3% of GDP; a public debt below 60% of GDP or declining at a satisfactory pace; an inflation rate within two percentage points of the average of the three EC nations with the lowest inflation rates; and a currency that had not been devalued in the previous two years and that had remained within a normal currency band.

The Maastricht guidelines challenged Prime Minister Giuliano Amato to address Italy's huge fiscal imbalances. Although his government lasted less than a year, Amato introduced major economic and institutional reforms, budget cuts, and improved tax revenues to put the country on track to meet its deadlines. As part of the strategy, Amato launched an aggressive privatization program to reduce the debt and promote competition. From 1993–1999, the privatizations, which included sale of significant stakes in ENEL, ENI, Telecom Italia, and several major banks, raised over 100 billion euros. Some, however, believed that the privatizations undervalued Italy's state-owned enterprises. "Italy too often

sold its best industrial assets”, argued Domenico Arcuri, CEO of Invitalia, a government agency to reduce debt, “and it forgot that the best way to raise money is economic growth.”¹⁹

By 1997, Amato’s reforms successfully brought the budget deficit down to 2.7%, within the Maastricht criteria. In May 1998, under Romano Prodi, who had overseen a substantial debt reduction—although it still exceeded the guidelines—Italy (a founding member of the EU) entered the EMU, although its debt far exceeded the guidelines. On January 1, 1999, upon its introduction, Italy adopted the euro while its monetary policy came under the control of the European Central Bank (ECB).

Italy’s Strengths

As the third-largest economy in the EU, Italy was a strong exporter of manufactured goods. Italy was the second-biggest manufacturing power in Europe after Germany and the fifth-largest in the world. Italy’s manufacturing was specialized in the so-called “4 Fs”: food/wine, fashion, furniture/building materials, and fabricated metal products/machinery. Leveraging centuries of tradition, the country’s fashion brands, such as Prada, Armani, and Versace, were known worldwide. Names such as Ferrari, Maserati, and Lamborghini were celebrated globally for their design and engineering. Italian food products were also highly desirable, with exclusive “appellation” rights granted to regional names that satisfied a defined standard of quality. Examples included Parmigiano Reggiano cheese and Prosciutto di Parma ham.

In recent years, Italian manufacturing began switching toward greater specialization in mid-level technology (see **Exhibit 5**). These high-growth sectors included robotics, mechatronics, pharmaceuticals, and aerospace technology. Pharmaceuticals were an increasingly important export of the Italian economy, contributing €28 billion in manufacturing value added. Italy ranked first in the world for its export growth in medicines and vaccines from 2010–2013.²⁰ “Italy’s manufacturing is extremely competitive,” remarked Roger Abravanel, former director at McKinsey & Company. However, manufacturing represented only 15% of the value added to GDP (see **Exhibit 6**). Abravanel warned, “Unless these companies grow, they are going to disappear. Italian manufacturing is fantastic, but it [alone] cannot save the Italian economy.”²¹

The Italian business sector was unique due to the prevalence of SMEs. The private sector was divided into two tiers of companies; at the top were a few large family-controlled firms, while SMEs accounted for the majority. Italian firms had on average 9 employees, compared with the average of 14.6 in France and 34.5 in Germany. In Italy, 82.5% of firms had fewer than 10 employees, while only 0.3% of companies had at least 250 employees (see **Exhibit 7**).

Italy’s SMEs were broadly characterized by high-quality products, solid balance sheets, and strong profitability. The majority were family-run. The small nature of Italy’s firms also meant the country had a strong entrepreneurial culture with over 4 million entrepreneurs. These firms depended heavily on apprentice and on-the-job training opportunities and traditional craftsmanship, resulting in Italy’s second-place ranking in Europe for its skilled workforce.²² According to Fabio Sattin, a private equity investor, “There is no shortage of investing opportunities in world-class companies.”²³ Gianfelice Rocca, an entrepreneur and the president of the Association of Industrial Firms in Lombardy, added, “There are many jewels among Italian companies. The micro trumps the macro.”²⁴

Italy’s SMEs tended to be organized into specialized industrial clusters, known as *distretti* (see **Exhibit 8**). The *distretti* developed naturally, as suppliers and services congregated in a common geographical area. This concentration of firms within specific industries and the family-owned nature

of Italian SMEs facilitated cooperation and knowledge transfer between firms and suppliers. At the same time, competitive pressures fostered innovation. In his book *Competitive Advantage of Nations*, Michael Porter explained, “Constant competitive advantage was present, due to sophisticated and demanding local buyers, strong and unique distribution channels, and intense rivalry among local firms.”²⁵ Specialization was a crucial element of the *distretti*, allowing small firms to focus their limited resources on what they did best.²⁶

Examples of *distretti* included the leather footwear industry in Verona, ceramic tiles in Sassuolo, factory automation equipment in Turin, packaging machinery in Bologna, and textiles in Biella.²⁷ In particular, Italy’s specialized manufacturing was supported by strong technology clusters. Of Italy’s 144 districts, 22 were specialized in high-technology sectors, encompassing over 12,700 firms.²⁸ The majority of Italy’s *distretti* were concentrated in the North. Northern enterprises contributed 62% to the sector’s value added, while the South contributed just 17%.²⁹

With a strong reputation for design and quality, “Made in Italy” was highly desirable across the globe, and exports acted as the traditional engine of growth. Italy’s imports were also sizeable as the country lacked its own oil, gas, and raw material production. Regardless of these high imports, Italy historically saw trade surpluses; in 2014, Italy had a surplus of over \$55 billion. Italy was the world’s top exporter for clothing, textiles, and leather products, and the second-largest exporter of non-electric machinery and basic manufacturing.³⁰ Europe was Italy’s biggest trade partner, which purchased more than 50% of Italy’s exports, followed by the United States (see **Exhibit 9**). Consequently, Italy’s trade balance took a harsh hit during the European Debt Crisis, only recovering by 2014.

Italy had a number of geographic and cultural assets that supported a thriving tourism sector. Italy comprised a long, boot-shaped peninsula, which stretched from the Alps to the Mediterranean, and included the islands of Sicily and Sardinia; it was rich in natural beauty and blessed with a pleasant climate. With a cultural legacy stretching back to the eighth century B.C., Italy had 50 UNESCO World Heritage sites, the highest number in the world, and more than 3,400 museums. However, there was a low economic return on these assets; the United States earned a commercial return on its UNESCO sites 16 times greater.³¹ The sector was also dominated by independent “mom and pop” establishments. Abravanel lamented, “Italy is the most fragmented country in this respect – we don’t have one single global chain.”³²

Debt Sustainability and the Weakening Euro

Italy’s present challenges were shaped by the legacy of previous strategies – namely, ballooning public spending and the use of devaluations to improve the competitiveness of Italian exports.

Overspending and devaluation By the mid-1990s, the public debt-to-GDP ratio had reached 120%, one of the largest in the world. In preparation for meeting the Maastricht Criteria, several governments wrestled Italy’s finances back into manageable condition, and the debt-to-GDP ratio was brought back down to 103% by 2007.

Historically, the Italian government had been able to improve the competitiveness of Italian exports by devaluing the lira, making exports cheaper. However, the frequent devaluations caused inflation to rise, while sparking the frustration of other European trade partners. The policy also disincentivized the government from implementing structural reforms aimed at better positioning the country to compete in a global market.

When the euro was adopted on January 1, 1999, Italy lost its ability to manipulate the competitiveness of its exports via devaluations, and the industrial and manufacturing sectors were forced to adjust. “[Firms in these sectors] did adjust, but in the wrong way. They used the flexibility in the labor market. But it was so flexible that it substituted jobs—high-paid jobs for low-paid jobs, especially for the youth and people in short-term contracts,” observed Ignazio Visco, governor of the Bank of Italy. “In this way, they reduced labor costs but did not change the structure of production, and firms were not able to incorporate the innovation that needed to be introduced.”³³

European debt crisis By 2007, the Italian government had managed to reverse the growth in public debt. However, the positive trend was thrown off course by the global financial downturn of 2007–2008. Italy’s GDP took a substantial hit, contracting 1.3% in 2008 and another 5.0% in 2009.³⁴ As demand fell among its trade partners, Italy’s exports fell 25%, from \$541 billion in 2008 to \$406 billion in 2009.³⁵ Maria Cannata, director general of public debt within the Treasury, commented, “The crisis happened right when the recovery was about to begin. We lost a lot in terms of purchasing power.”³⁶

Matters worsened in late 2009, as Greece’s public finances began to unravel. In October, the new Greek government announced that the nation’s deficit would be 15.9%, double what had previously been stated. This announcement sparked a wave of downgrades by credit agencies and a spike in sovereign bond yields, effectively igniting the European Sovereign Debt Crisis. As concern grew over the continent’s other heavily indebted countries, including Portugal, Ireland, and Spain, fears of contagion increased scrutiny of Italy’s deficit spending and debt burden.

Austerity measures In May 2010, at the time when the first Greek bailout package was approved, the Italian government announced a €24 billion austerity plan, as the deficit neared 5% and the debt rose to 115% of GDP. In July 2011, the IMF insisted that Italy must reduce its public debt, maintain the stability of the financial sector, and introduce structural reforms to boost growth.³⁷ That month Italy’s borrowing costs on its 10-year bonds rose to 5.8%, the highest rate in more than a decade and up a percentage point from just a month earlier.³⁸

At that point, the government of Silvio Berlusconi, despite promising to never raise taxes, agreed to a new austerity package, including cuts worth €48 billion (\$67 billion).³⁹ The package included salary freezes for public workers until 2014, cuts to regional spending and healthcare, and taxing pensions for high-income earners.⁴⁰ Finance Minister Giulio Tremonti hoped the austerity package would cut the deficit to zero by 2014 down from its value of 3.9% of GDP. Tremonti warned, “Without austerity, the monster debt from our past will swallow up our future.”⁴¹ In September 2011, after weeks of acrimonious political fights, the Italian Parliament approved a supplementary austerity budget, worth a total of €55.4 billion, designed to push the timeline for achieving a balance budget up to 2013. In spite of this effort, Standard & Poor’s downgraded Italy’s credit rating to a negative outlook.

In August 2011, the ECB, under Jean-Claude Trichet, had announced it would purchase Italian government bonds, in an attempt to lower the unsustainably high borrowing costs.⁴² However, there were fears that the ECB’s purchase program might lead Italy to backpedal on several of the austerity measures. The ECB later revealed that Italian government bonds made up nearly half of the holdings under its Securities Market Program, a limited bond-buying facility that it operated from 2010–2012. Italian bonds dominated the holdings with a value of €99 billion, followed by Spanish and Greek bonds worth €43.7 billion and €30.8 billion, respectively.⁴³

In November 2011, financial markets doubted that Berlusconi could push through the latest economic reforms, and Italy’s 10-year bond yields neared 7%, the rate at which many believed the debt would become unsustainable.⁴⁴ Earlier in his term, Berlusconi had already been ensconced in sex and corruption scandals, which challenged the cohesion of his party. On November 8, 2011, Berlusconi lost

his parliamentary majority, pledging that he would resign as soon as Parliament approved the reforms. The Italian Parliament adopted a new austerity package, aimed to achieve €59.8 billion savings.⁴⁵ The plan raised the retirement age from 65 to 67 by 2026 and strengthened measures to fight tax evasion.⁴⁶ The following day, Berlusconi resigned, and was replaced four days later with a technocrat, Mario Monti.

A month later, Monti increased his predecessor's austerity measures. The "Save Italy" package, worth €30 billion, was announced in response to the continued pressure to implement sweeping reforms to restore confidence in the state's fiscal footing. This plan raised the minimum pension age to 66 by 2018; introduced new taxes on property, financial products, and luxury items like powerful cars and yachts; and streamlined local government administration. On the importance of the austerity plan, Monti commented, "If Italy were not capable of reversing the negative spiral of growth in debt and restoring confidence to international markets, there would be dramatic consequences, which could go as far as putting the survival of the common currency at risk."⁴⁷

Current state of Italy's debt By early 2015, Italy's public debt-to-GDP ratio measured 132% (see **Exhibit 10**). This debt burden was exceeded only by that of Japan (approximately 240% of GDP) and Greece (approximately 180% of GDP) (see **Exhibit 11**). Cannata explained, "Every year, we issue around €440 billion [of debt]. This year [2015] we are planning around €410 billion. For the record, the largest gross issuance was in 2009 – we issued €539 billion. It was pre-contagion, starting from June 2011, when the mess began."⁴⁸

Many critics debated over the sustainability of Italy's debt situation. It was unknown at what point Italy would no longer be able to service its debt obligations. Some observers pointed to Japan, whose debt remained stable at 240% of GDP with little sign of discouraging investor confidence. Like Japan, the majority of the Italian debt was held by domestic residents and banks. Historically, Italian households maintained high savings and low personal debt. The net wealth of Italian households was eight times that of their disposable income.⁴⁹ Substantial reforms of the pension system since the 1990s had brought it back to a contributory system and were forecast to reduce the pension costs by 1.5% of GDP over the next 15–20 years.⁵⁰ Additionally, Italy had one of the lowest levels of household debt in the OECD, at 92% of GDP. Around 60% of the government debt was held by Italian individuals and institutions. In comparison, only 30% of Greece's debt was held by domestic holders. Others commented that Italy had a history of a high primary surplus in its current account, indicating that the nation would be able to continue financing its interest bill without additional borrowing.⁵¹

Others, however, were deeply concerned about the impact of Italy's macroeconomic performance, namely its struggles with persistent low growth and disinflation, on the debt. Since 2009, Italy had suffered from stagnant economic growth, which threatened to push the debt-to-GDP ratio higher still, independent of government spending. In order to tame the debt from growing, nominal GDP had to rise faster than the debt. However, Abravanel argued that poor growth was a long-standing issue: "In 2005, Italy was named the real sick man of Europe. Low growth has nothing to do with the crisis."⁵²

New institutional characteristics limited the Italian authorities' ability to address this. Italy's central bank, like those of other euro area nations, had become a member of the Eurosystem, whereby monetary policy decisions were taken by the Governing Council of the ECB (comprising the ECB executive board and the governors of national central banks) to address economic conditions in the area as a whole. The nation thus had no independent monetary policy that could be used to influence its exchange rate or control domestic inflation,⁵³ besides, it could not initiate its own bond-buying program to monetize its debts, such as done by the Bank of Japan. Moreover, by mid-2014, the ECB's deposit interest rate had gone negative, leaving little additional room to move interest rates to influence

inflation; to this end, the ECB announced its quantitative easing program in January 2015 and started it in March. In January 2015, the euro reached an 11-year low against the U.S. dollar. (See **Exhibits 12** and **13**.⁵⁴)

Many wondered whether Italy was a systemic risk to the entire euro area. As the third-biggest economy in Europe, no amount of external financial aid could prevent a complete breakdown of Italy's debt situation in the face of a swift downturn in investor confidence. Due to its size, a potential default on Italian debt—though there were no signs of it—could destroy the single currency and possibly tear the eurozone apart.

Italy's Challenges

A number of structural challenges acted as obstacles for the Italian government to rein in the national debt and return the economy to robust growth.

Labor Market

Italy's rigid labor market was a frequent complaint. The Worker's Statute of 1970 offered strict protections against individual terminations; if a judge ruled that a worker suffered wrongful dismissal, the firm was obligated to reinstate the employee. As a result, many firms were wary of drawn-out and expensive lawsuits, at the end of which they might have to re-hire the worker or pay a heavy severance. Many blamed these labor laws for the shortage of major Italian firms. A standing joke among Italian employers was that they could divorce their spouses but not their employees.

In the 1990s, the Italian government introduced several labor market reforms, including a two-tier collective bargaining framework (at the national and at the company level) that covered 60% of Italy's employees. To address rising unemployment, the government introduced temporary contracts and provided incentives for part-time work.⁵⁵ Despite these reforms, Italy's labor relations remained a major concern. Ambassador Spogli explained: "In a broad sense, Italy for many years had the *posto fisso di lavoro*, a fixed job, a job for life. It was enshrined in the 1970 Workers' Law to give the incredible workers' rights that the country is trying to now undo."⁵⁶ Italy's employee protections well exceeded the OECD average.⁵⁷

Many blamed Italy's unions, which traditionally held significant sway over government policy, for the rigid labor market. There were an estimated 12 million trade union members, more than any other country in the EU. National trade union density was estimated at 36.9%, more than double the OECD average of 16.9%.⁵⁸

Italian employers also faced high unit labor costs, which had risen over 25% over the past decade. In contrast, Germany's unit labor costs declined by nearly 10% over this same period. While wages had increased by 30%, both labor and total factor productivity had markedly stagnated since the introduction of the euro (see **Exhibit 14**).⁵⁹ "Productivity is a huge problem," Abravanel argued. "It's not that Italians work less—they actually work longer hours. The problem is value-added."⁶⁰

Italy's education system also struggled. In the Program for International Student Assessment (PISA), Italy underperformed the OECD average in mathematics, reading, and science. While Italy and Singapore both spent \$85,000 on education per student, Italian students scored 485 points on the PISA mathematics test, as compared with Singapore's 573 points (the U.S. was at 481).⁶¹ Reflecting the Italian dualism, performance had a strong geographical component, with students scoring above average OECD levels in the North but well below in the South. According to a survey by the European

Commission, only 34% of Italians could hold a conversation in English, vs. 39% of the French, 56% of the Germans, and 73% of the Austrians.⁶² In higher education, while there were centers of excellence, the mostly state-run Italian universities appeared sparingly in international rankings.⁶³ The first management school was created by Bocconi University only in 1971.⁶⁴

The proportion of the population aged 30–34 having a tertiary degree was the lowest in the EU, and employers reported that students were ill-equipped for meeting private sector needs.⁶⁵ Viganò said, “The connection between the school and employment system is essentially zero.”⁶⁶ Consequently, some worried that Italy would experience a brain drain as its best graduates decided to work abroad. Visco stated, “There is a lot of human capital of high quality that goes abroad. There are not enough opportunities for these individuals in this country.”⁶⁷ Prodi similarly explained, “With low levels of investments over the past 10 years, the consequence is that we export skilled labor. If you import all poor people and you lose those with PhDs, it’s not a good equation.”⁶⁸

Italy also suffered from high unemployment rates. Nationwide, Italy experienced an unemployment rate of 12.9%. However, unemployment was higher in the southern part of the country and among youth, which measured rates of 20% and 42%, respectively.⁶⁹ The high youth unemployment rate was frequently blamed on the recession and austerity measures, although the rate had historically been high. From 1994–2000, youth employment averaged 33%, despite GDP growth measuring 2%.⁷⁰ As a result, job seekers took a long time to find work; nearly half of those unemployed had been out of the labor market for over a year.⁷¹

Business Environment

According to the World Bank, Italy showed mediocre rankings for ease of doing business, scoring 56 out of 189 countries, behind Romania (48), Mexico (39), and Rwanda (46) (see **Exhibit 15**). Italy showed particularly low rankings for dealing with construction permits (ranked 116), getting electricity (102), and enforcing contracts (147).⁷² The judicial system was notorious for its delays and cost. On average, contract enforcement required 37 different procedures and lasted four years. Visco observed, “The judicial system is quite a disaster, particularly the length of a trial. If one of your suppliers fails you, it’s going to be 10 years before you settle. It’s just counterintuitive—it’s not business friendly.”⁷³

Taxation was another major issue. Italy ranked 141 by the World Bank as one of the worst-performing countries in the world for paying taxes. It took an average of 269 hours for firms to file. Italy had a corporate tax rate of 31.4%, well above the EU average of 22.2%. Italy also had a notoriously high tax wedge, the sum of personal income tax and social security contributions. In 2012, the tax wedge reached nearly €14,500, or 47% of average labor costs. A quarter of the tax wedge was represented by social security contribution by the employer, while the remaining was paid by the employee.⁷⁴ Tax evasion was another rampant issue. The government estimated that evasion cost the country some €90 billion per year. An investigation by the Finance Ministry found that over 94% of companies inspected in 2013 showed some form of tax evasion.⁷⁵

While the dominance of SMEs within the Italian private sector had many advantages, the diffuse business sector suffered from several issues. Due to the emphasis on family ownership, SMEs tended to be reluctant to relinquish control to professional managers or outside investors; in family-owned firms, two-thirds of managers were directly related to the owners. Additionally, managers of these firms tended to be older (more than half were over age 55), despite evidence suggesting that older leaders were correlated to lower investment rates and poorer performance.⁷⁶ Prodi explained, “For the most part, companies in Italy are still run by families. Family companies in Germany are run by

professional managers – it's a dual system between the managers and the families. Here [in Italy] the family is the manager."⁷⁷

Some asserted that cronyism and familism had caused Italy to be left behind on the IT boom of the mid-1990s. Italian companies tended to choose individuals for managerial positions based on their loyalty and time with the firm over specific competence, reducing the ability of firms to successfully adopt productivity enhancements and new technologies.⁷⁸ As many Italian businesses lacked the managerial and financial means to adopt complex technologies, Italy's most successful exports were confined to niche markets. Due to their small size, SMEs also had low investment rates in research and development, lacked access to financing, and faced challenges competing in global trade outside of niche markets. Italy's estimated annual research and development expenditures amounted to 1.2% of GDP, half of the OECD average.⁷⁹ Roughly 40% of this came from the government budget.

Consequently, Italy traditionally had low levels of inflowing foreign direct investment (FDI). During the euro crisis, incoming investment took a dramatic hit, falling essentially to zero before recovering to \$14.4 billion in 2013 (see **Exhibit 16**). While the state had recently privatized several sectors, opening up attractive investment opportunities, investors were discouraged by Italy's bureaucratic hurdles, poor infrastructure, organized crime, and other challenges.

Banking and Finance

Italy's banks collectively held assets worth €2.6 trillion, making it the fourth-largest market in the EU.⁸⁰ However, Italy's financial sector was highly fragmented, dominated by small banks focused on lending to SMEs in their local communities. The nation had over 680 banks, and there were 54 branches per 100,000 people, a greater concentration of branches per capita than restaurants or pharmacies.⁸¹ The fragmentation led to weak balance sheets and poor profitability.⁸²

Historically, Italy suffered from an underdeveloped stock market and corporate governance framework, which hindered the development of Italian industry. After the Second World War, Italy's stock market was dominated by firms either owned by a few wealthy industrial families or the state, and little effort was directed toward developing governance frameworks to protect minority investors. Due to a lack of institutional investors and underdeveloped corporate governance, a small group of owners were able to utilize cross-shareholdings, shareholder pacts, and pyramidal structures to control a large number of assets by leveraging a small amount of capital. This system of interrelated governance spanned industries from banking and construction to media, and contributed to a chronic underinvestment and inefficient allocation of capital in Italy's industrial sector.⁸³ The protection of minority shareholders was partially addressed in the late 1990s by reforms promoted by Mario Draghi, the then Director General of the Italian Treasury.

Due to its localized nature, the banking sector did not immediately experience the same destabilization from the financial crisis of 2007–2008 as seen in the U.S., and Italy did not have to bail out its banks. Visco reflected, "Banks in Italy have been pretty stable. They are commercial banks. They are little involved in trading or in finance – they are not comparable in size to the German investment banks."⁸⁴ Yet as economic conditions deteriorated with the unfolding of the eurozone crisis, Italian firms struggled to service their outstanding loans, and the sector saw a swift rise in the number of non-performing loans (NPLs). Since 2007, the ratio of NPLs to total outstanding loans had tripled to 16% (see **Exhibit 17**). For corporate loans, this number reached 29%.⁸⁵ In October 2014, the ECB released its Asset Quality Review; of the 25 institutions that failed, nine were Italian. However, after an €11 billion capital injection from early 2014 was considered, only two banks still measured shortfalls.⁸⁶

The significant holdings of NPLs reduced profits, pushing up lending rates and exacerbating the already limited financing available to SMEs, which relied principally on bank loans rather than on the capital markets. At the same time, banks faced additional risk from Italian government bonds, once considered conservative investments. "This topic of credit flow [to businesses] is in part a consequence of the eurozone crisis," said Rovelli. "Banks discovered that they were too exposed to Italy's macro risks as their holdings of Italian government bonds did not offer any protection against a deteriorating corporate loan book. As banks tried to reduce the size of their balance sheet, lending to SMEs was significantly curtailed."⁸⁷ However, due to their small size and desire to maintain familial control over management, Italian firms struggled to attract outside funding. Visco observed, "In general, Italy is a country where debt has been favored vis-à-vis other forms of finance. Small enterprises find it difficult to go into the market, and they have relied mostly on the banks. You need an efficient capital market to finance long-term investment."⁸⁸

The Italian government understood that the NPLs were a risk to the economy, but a resolution was far from clear. "The health of the system is still satisfactory, but we need to do two things: grow again and deal with NPLs . . . [However], the current European regulation is very, very strict. For instance, the public sector cannot put money in bad banks since this will count as state aid," said Finance Minister Pier Carlo Padoan. "We are desperately trying for market solutions to NPLs."⁸⁹

Public Sector

Italy's public sector also saw significant fragmentation. After the collapse of the Christian Democrats and the Italian Communist Party, Italian politics had been divisive. Since 1990, Italy had had 14 prime ministers.⁹⁰ As power swiftly and frequently changed hands, few leaders held office for long enough to implement far-reaching reform initiatives. Gutgeld noted, "If you want to change the country, you need at least five years. If you get leadership change every two years, it won't happen."⁹¹ Moreover, politicians were keenly aware of how closely their length of time in office was linked with popular sentiment regarding reforms. Visco explained: "There are a large number of vested interests which are attached to each issue You can't sequence reforms in the most efficient way. This implies some of the things that needed to be done urgently are postponed, and those not as important are going immediately—it is a major issue."⁹²

The bureaucracy was another major concern. Prodi said, "Bureaucracy, by far in terms of growth, is the biggest obstacle facing Italy."⁹³ The problem, many asserted, stemmed from organization rather than size. Visco observed, "If you compare Italy to France and Germany, there is certainly no excess of government—in fact, there is less. The problem is one of organization and efficiency."⁹⁴ The judicial system was a prime example as Italian courts faced a huge backlog of 5.2 million civil cases.⁹⁵ Gutgeld explained: "We have a large number of civil lawsuits per capita, more than other countries. Part of the problem was the very low costs of going to civil court, so we made it more expensive to reduce the number of petty lawsuits."⁹⁶

Italy also struggled to attract skilled employees to the public sector. Abravanel noted, "Bureaucracy is not necessarily a negative thing You improve bureaucracy by having better people in government. [But] we are behind in terms of recruiting quality public servants."⁹⁷ Gutgeld asserted that many of these were political appointments: "Politics moved into careless, clientele hiring."⁹⁸

National-level politicians had to contend with the many layers of the subnational government. Italy's local government was divided into three tiers: regions, provinces, and *comuni*. The largest of these subunits were regions, established in 1970.⁹⁹ Regions were allowed to initiate legislation, appoint delegates to assist in presidential elections, and propose referenda. *Comuni* operated on the municipal

level and were charged with basic civil functions, such as maintaining local infrastructure and registering births and deaths. Provinces were a mid-level government, responsible for the decentralized implementation of state responsibilities, including the police, environmental protection, and economic development. Throughout the 1990s, regionalization was gradually strengthened, and constitutional reform granted financial autonomy to subnational governments in 2001.

Regionalization exacerbated bureaucratic inefficiencies and widened the geographic divide. Italy's healthcare and education systems were largely financed by each region, creating disparities based on local revenue.¹⁰⁰ Abravanel explained: "In healthcare, quality is variable by region. In the South, quality is lower but it's more expensive—it's completely unfair. It's the same with education."¹⁰¹ Many regulations were determined on the regional level. Visco continued, "There is also the impact of a number of regulations, and the fact that these aren't the responsibility of a single agency but a number. There are regional and national laws—these need to be streamlined."¹⁰²

Corruption and crime were additional problems. On the Corruption Perceptions Index, Italy ranked 69 out of 175 nations, tied with Greece, Bulgaria, and Romania for Europe's poorest-performing state.¹⁰³ Criminal activity reduced public revenue, deterred foreign investment, and halted productivity upgrades. Starace explained the impact on economic growth: "Crime—and I also mean the informal economy, tax evasion, and so on—is everywhere in Italy. That is something we carry as a heavy weight around our body. Every time we try to accelerate and run, it is slowing us down. It is draining resources and productivity."¹⁰⁴ Others noted that security and trust were critical components for the success of market capitalism. "If rule of law does not apply, then you cannot have competition," argued Abravanel. "Why hire a good guy, if you can hire a good accountant to avoid taxes? If you don't have competition, you don't have meritocracy."¹⁰⁵

Renzi's Solutions

On February 22, 2014, Matteo Renzi was named prime minister. Before taking national office, Renzi had served as the president of the Florence province from 2004–2009 before serving as mayor from 2009–2014. While mayor, Renzi was elected as Secretary of the Democratic Party in April 2013. In early 2014, Prime Minister Enrico Letta called for a leadership vote within the party, following pressures from Renzi to resign. Promising rapid and radical reform targeting taxation, labor laws, and institutional structures, Renzi won the Democratic Party's approval by an overwhelming majority of 136 to 16 (see **Exhibit 18**).¹⁰⁶

Institutional Reform

Institutional reform was one of Renzi's first targets. The parliamentary system had ushered in five governments over the past decade, and political alliances were fickle, dependent on coalitions that were in near constant flux. Gutgeld noted, "Italy has become a non-deciding democracy."¹⁰⁷

The first component of Renzi's strategy was the introduction of a new electoral law designed to promote political stability by fostering fewer and stronger parties. Approved in May 2015, the new law, known as *Italicum*, was based on proportional representation but granted a premium of 55% of seats to the party with the most votes. If neither party owned at least 40% of the votes, there would be an automatic runoff.¹⁰⁸ The law, scheduled to take effect in July 2016, was met with substantial opposition, however. To push through the reform, Renzi promised to hold a confidence vote tied to the law's success, threatening to resign if the effort failed.

Renzi also introduced constitutional reforms to end the bicameral parliamentary system. Under the reforms, the Senate (upper house) would be reduced in size and turned into a non-elected body. The Senate first voted in favor of the reforms in August 2014, but the package was required to undergo at least three more parliamentary votes and a popular referendum.¹⁰⁹ “Renzi was criticized from the very beginning because he worked through a very abstruse reform in the legislative reform – people were saying, we have so many problems, why focus on the political system? He almost achieved a miracle – you have very few examples where a senate self-dissolves without the senators killing the senators,” explained Starace.¹¹⁰ “He did that, and it laid the ground for successful job reform. Without this, the upper and lower chamber would have gone back and forth,” Padoan elaborated.¹¹¹

Additionally, Renzi’s government promised to simplify the country’s multilayered governance structure and combat corruption in public administration. First, Renzi assured that his government would massively downsize Italy’s 107 provinces, transferring functions to regions and municipalities.¹¹² Gutgeld added, “Now we are centralizing. We are eliminating the intermediate province level and most importantly we are transferring decision authority on labor, environment, and strategic infrastructure issues from the regions to the central government.”¹¹³ Renzi’s government also created a new agency to target government corruption, with a minimum penalty of 4–6 years and a maximum of 8–10 years for those guilty.¹¹⁴ Padoan affirmed, “We have established an independent anti-corruption agency. It’ll be extended to all public administrations in terms of transparency, not having people working in the same place for too long, and so forth. Lots needs to be done, but this a priority of the government.”¹¹⁵

Tax Reduction and Spending Control

The government introduced tax system reform to reduce labor costs and evasion. In its first year, the Renzi government reduced income taxes and company contributions by €18 billion. Those reductions were expected to go up to €22 billion in 2016. In July 2015 Renzi announced another significant tax reduction plan that would amount to an additional €35 billion on an annual basis by 2018. The plan included a reduction in property taxes, which the Monti government had almost tripled (half of the 1 million jobs lost since 2008 were in construction), an additional reduction on personal income tax, and, most importantly, a significant reduction in corporate taxes with the stated aim to make Italy one of the most fiscally friendly countries in the EU.¹¹⁶ The government also began reforming the tax collections system to reduce evasion. Padoan stated, “We are introducing transparency, a huge amount of IT into the story. We pre-drafted tax returns. Those are based on [each taxpayer’s payment] history. We are going to increase transparency – there is a lot about incentives, punishment, and distinguishing fraud from mistakes. We’ll change the tax administration in a dramatic way.”¹¹⁷

In order to help stop the debt from increasing, the government worked to bring fiscal spending under the 3% rule (see **Exhibits 19 and 20**). For 2015 and 2016, it set a savings target of €11.3 billion and €12.4 billion, respectively,¹¹⁸ although according to Carlo Cottarelli, IMF Director for Italy and former Commissioner for Public Spending Reform in the Letta government, “to cut spending is politically unpalatable and it takes time.”¹¹⁹ In a move that some saw as consumer spending stimulus and others as a move to buy popular support, Renzi distributed €1,000 per year to the lowest-paid citizens. “Our problem is debt, not deficit – we are complying with the rules,” explained Padoan. “We will continue to squeeze the deficit both in nominal headlines and structural. We are constantly facing the debt rule.”¹²⁰

To help with the debt reduction, the Renzi government pledged to continue with the privatizations announced under his predecessor. Although not much was left to privatize, the program aimed at

raising 0.7% of GDP per year until 2017 by selling a 5% stake in ENEL, 40% of Poste Italiane (mail services), 49% of ENAV (air traffic control), and the entirety of Grandi Stazioni (railway system), among others.¹²¹

The sustainability of the debt, however, was largely dependent on external conditions, including economic growth. Padoan reflected, “The master way out of debt is growth, and this is where the problem lies – low growth. It’s why the debt looks so ugly, not spending sprees. We spend less than other European countries. The big issue is debt service.”¹²² Recently, Italy’s debt was greatly aided by low interest rates. Cannata noted, “We have been able to keep the market access in troubled times. As long as interest rates remain at the present low level, we can manage it far more easily.”¹²³

Investment Compact

The Italian government approved the Investment Compact Decree, regulation aimed at encouraging investment and introducing urgent measures for the banking system. The act introduced bureaucratic simplification and fiscal incentives for start-ups and “innovative SMEs.”¹²⁴ It also allowed for the creation of a “service company” for the restructuring and financial recovery of firms that had good economic and industrial prospects but were facing temporary financial difficulties. Additionally, SACE, the Italian Export Credit Agency, was authorized to act as an import-export bank, providing direct credit for the internationalization of Italian businesses.¹²⁵ Finally, measures to expand direct lending to companies by non-bank operators were introduced. Perhaps most importantly, the decree aimed to consolidate the financial sector by reclassifying cooperative banks with more than €8 billion in assets as limited companies, thereby modernizing their governance structure.¹²⁶

Labor Market and Education Reform

Labor market reforms were among the most anticipated of Renzi’s initiatives. The primary piece of legislation, the Jobs Act, was approved in December 2014. The act was designed to eliminate Italy’s two-tiered labor market, which comprised permanent employees who were difficult to fire, and a growing number of workers on temporary contracts. Specifically, in firms with more than 15 employees, the act liberalized the employers’ right to fire workers for business reasons rather than only for cause. Except in cases of discrimination, firms were not required to hire back employees, who were still entitled to compensation that increased with seniority. Additionally, the government offered temporary fiscal incentives for companies to hire on a permanent basis rather than through the popular temporary contract. The reform also extended unemployment benefits for those on temporary contracts.

In March 2015, Renzi unveiled his long-awaited plans for educational reform. The proposed bill introduced pay increases based on merit and increased powers for head teachers in staff promotions. Renzi also pledged to hire 100,000 teachers on permanent contracts by September, a move that critics interpreted as part of Renzi’s strategy to buy consensus. The reform, passed in July 2015, was also harshly criticized for not adequately addressing issues of educational quality and outcomes.¹²⁷

Will Italy Make It?

In the run-up to June 2015, Renzi had held tremendous political support, which had helped him introduce several key elements of his reform agenda. However, he had many more reforms to implement, and the popularity of his party had begun to waver in the recent regional election.

Renzi was often touted as the only politician capable of pushing through the structural reforms Italy needed. Yet the question arose whether he could continue his agenda despite facing opposition from the bureaucracy and within his own party. "I think he is an extremely capable politician in the Italian world. He has much of the media appeal that Berlusconi had, and he has the youth that Berlusconi wished he still had," said Spogli.¹²⁸ Others were more critical, however. Corrado Passera, former Industry Minister in the Monti government and the leader of a new opposition party, quipped, "The reforms are more about message than substance; the real, deep-seated issues have not been addressed. It's more of the same old policies: high taxes, high current spending, and no increase in investment. That is not the way to find growth and reduce debt."¹²⁹ Prodi worried that Renzi lacked support from his bureaucracy: "This has been a positive change, a new generation [of leadership]. But he often chooses to be alone."¹³⁰

Many worried that Italy's divided politics might spell a premature end for the Renzi government. "It's a complicated issue of parliamentary politics that have largely been driving Renzi," said Spogli. "That's why he's taken the issues directly to the Italians and said, 'I'm your last hope.' I am worried though that the politicians are going to do the fatal stab on the Roman steps."¹³¹ Others believed that such concerns were unfounded arguing and that there was no real challenge to Renzi.

Questions also hovered over the sustainability of the nation's debt. Italy's debt management remained dependent on economic growth. While Italy's growth was expected to measure just 0.5% in 2015, the country was blessed with several positive exogenous events.¹³² The euro had devalued sharply against the dollar, while a drop in oil prices further helped firms. And in January 2015, the ECB announced its quantitative easing program of €60 billion per month. Moreover, consumer confidence had begun to improve. "What happened in the past six months – oil, quantitative easing, and the euro devaluing – gave us more time than we thought," commented Starace. "Now these circumstances will be wasted if the reforms don't happen."¹³³ Yet Greece's default on its debt payments in July 2015 and the ensuing political drama again raised the question of the sustainability of a cohesive euro area.

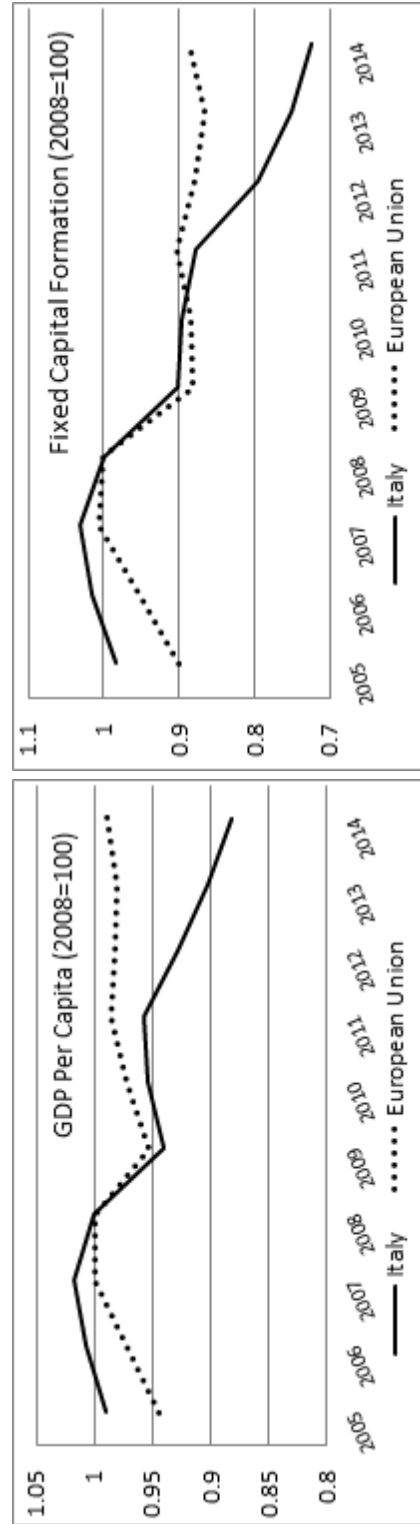
Renzi was the third prime minister in a row appointed by the President of the Republic and not elected following a general election – the next one not due until 2018 – prompting Berlusconi and his newspapers to talk about "suspension of democracy."¹³⁴ Nevertheless, Renzi's position as the head of the government was strengthened by supportive results in the 2014 European elections. Would Renzi be able to set the nation's debt on the right course? Would his government be able to introduce the structural reforms necessary to reverse the country's trajectory? Padoa-Schioppa warned, "If this process for some exogenous reason or pure political accident has to stop, this will be hard to restart again."¹³⁵

Would Italy make it? Or would Renzi become stuck in Italy's political swamp?

Exhibit 1 National Income Accounts, 2000–2014

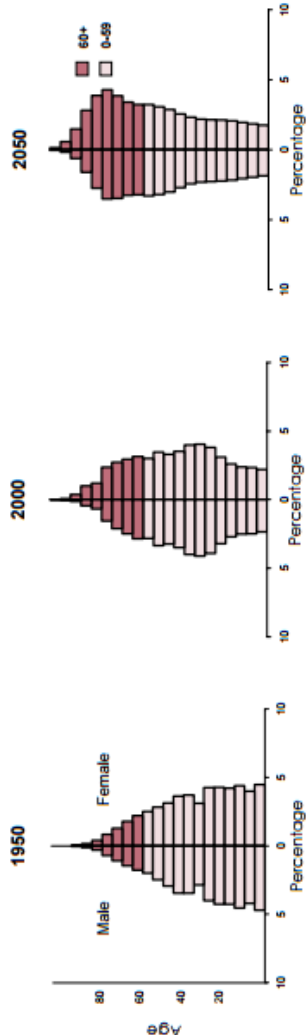
	2000	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
GDP at current market prices (€, billions)	1239.8	1490.4	1549.2	1610.3	1632.9	1573.7	1605.7	1638.9	1615.1	1609.5	1616.3
<i>As percentage of GDP</i>											
Private Consumption	60.6%	59.5%	59.5%	59.3%	59.6%	60.7%	61.0%	61.5%	61.6%	60.8%	60.8%
Government Consumption	17.9%	19.6%	19.4%	18.9%	19.4%	20.6%	20.4%	19.6%	19.6%	19.6%	19.5%
Gross Fixed Capital Formation	20.4%	21.1%	21.5%	21.6%	21.2%	20.0%	19.9%	19.6%	18.3%	17.4%	16.8%
Changes in Inventories	0.1%	-0.2%	0.3%	0.5%	0.4%	-0.7%	0.5%	0.7%	-0.7%	-0.3%	-0.4%
Acquisitions less Disposals of Valuables	0.2%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.2%	0.1%	0.2%
Exports of Goods and Services	25.6%	24.6%	26.2%	27.4%	27.0%	22.5%	25.2%	27.0%	28.6%	28.8%	29.4%
Imports of Goods and Services	24.8%	24.8%	27.1%	27.8%	27.7%	23.1%	27.1%	28.6%	27.6%	26.5%	26.2%
Real GDP (2010 reference year)	1556.2	1630.7	1663.4	1668.0	1670.2	1578.7	1605.7	1615.1	1570.4	1543.7	1537.1
Real GDP Growth	3.7%	0.9%	2.0%	1.5%	-1.0%	-5.5%	1.7%	0.6%	-2.8%	-1.7%	-0.4%
GDP Per Capita (US\$ at PPP)	26,658	29,554	31,832	33,531	34,941	33,893	34,396	35,495	35,054	34,836	35,276

Source: Created by casewriters using data from Istat database, National Institute of Statistics, June 2015. GDP per capita data is from OECD iLibrary, June 2015.

Exhibit 2 Italy versus European Union: GDP per capita and Fixed Capital Investment (Indices, 2008=100)

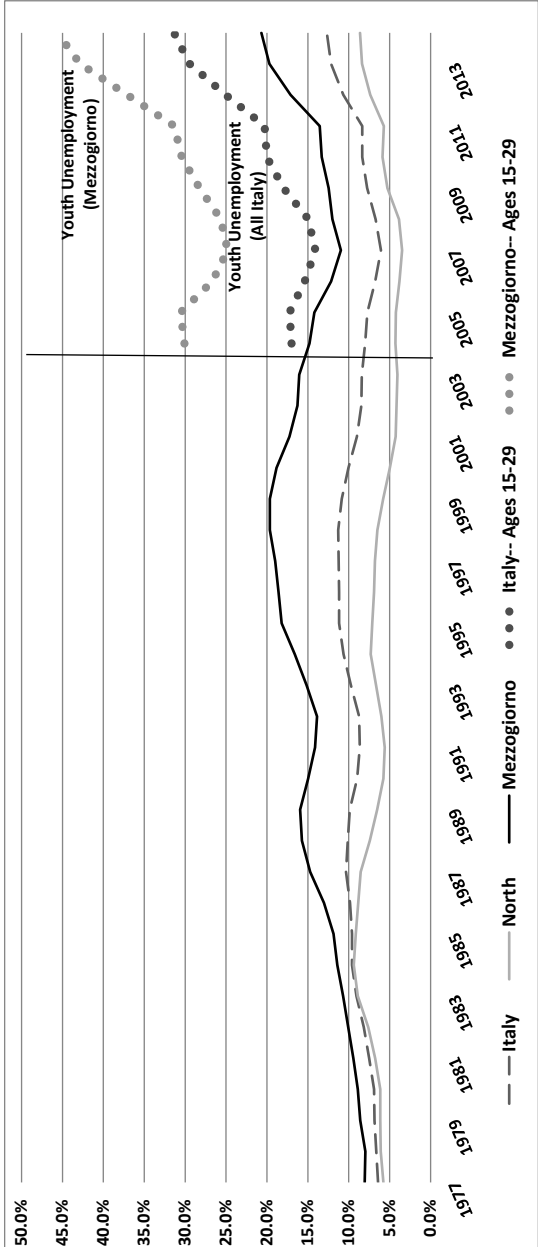
Source: Created by casewriters using data from the World Bank, Development Indicators Database, June 2015.

Exhibit 3 Population Structure of Italy in 1950, 2000, and 2050



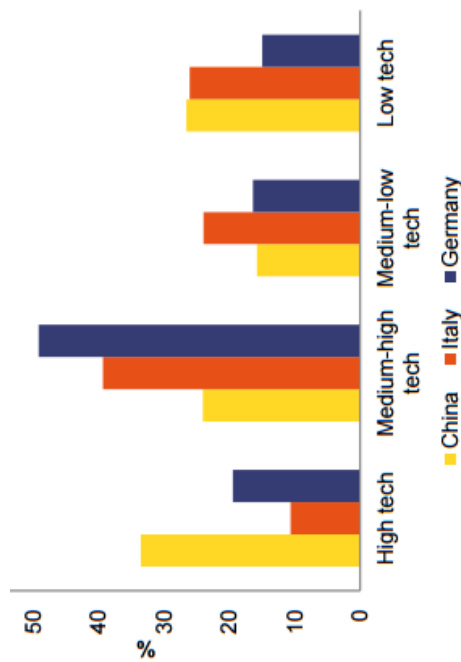
Source: United Nations, *World Ageing Population, "Italy,"* 2002.

Exhibit 4 Unemployment Rates, 1997-2014



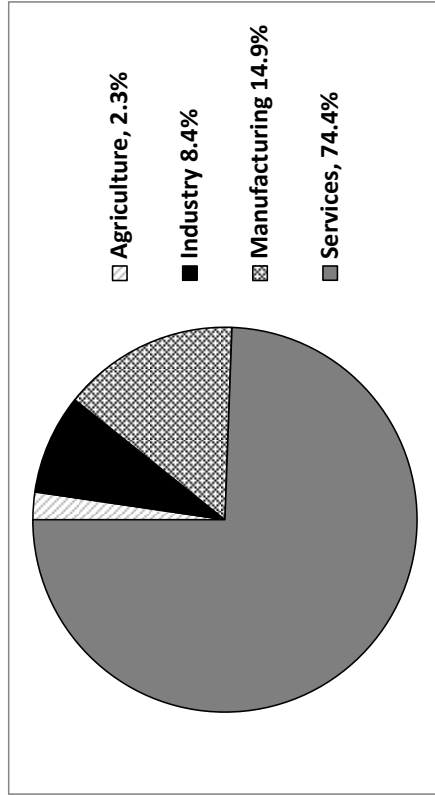
Source: Created by casewriters using data from Istat, National Institute of Statistics, June 2015.

Exhibit 5 Share in Total Exports by Technological Intensity: Italy, Germany, and China, 2010



Source: European Commission, "Macroeconomic Imbalances – Italy," *Occasional Paper* 138, April 2013.

Exhibit 6 Components of GDP by Value Added (% of GDP)

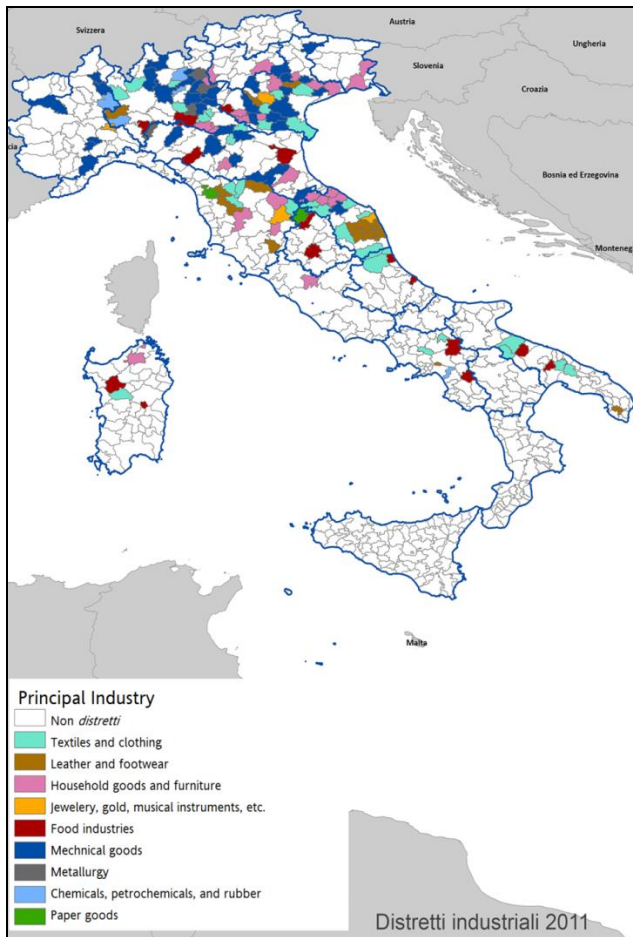


Source: Created by casewriters using data from the World Bank, Development Indicators Database, June 2015.

Exhibit 7 Manufacturing Sector: Number of Enterprises, Employment, and Value Added at Factor Cost, 2012

All Enterprises		Companies with 0-9 employees		Companies with more than 50 employees	
	Number of enterprises	Share of total enterprises	Share of total employment	Share of total enterprises	Share of value added at factor cost
Italy	425,481	82.5%	24.6%	2.4%	61.2%
Germany	207,847	61.3%	6.9%	9.9%	86.6%
Spain	182,162	82.5%	20.4%	2.9%	67.5%
France	206,998	84.9%	13.7%	3.7%	75.9%
	Average number of employees				
	9.0				
	34.5				
	9.9				
	14.6				

Source: Created by casewriters using data from Eurostat, European Commission, June 2015.

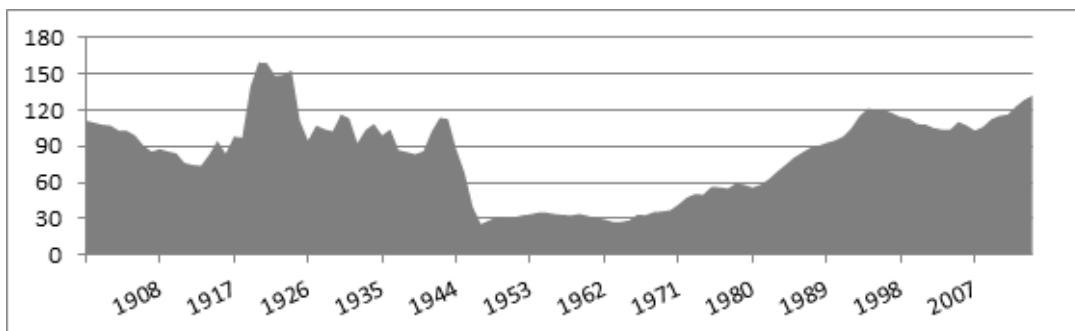
Exhibit 8 Map of Industrial Clusters

Source: *I Distretti industriali*, Istat, National Institute of Statistics, June 2015.

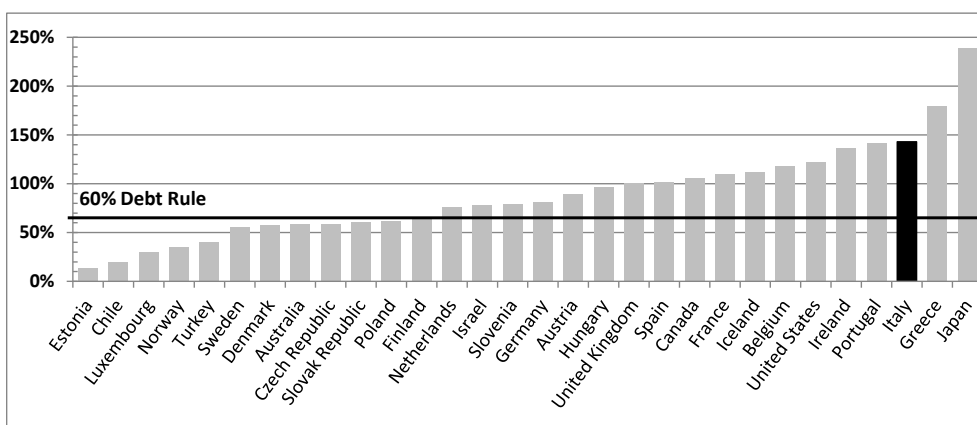
Exhibit 9 Italy's Major Trade Partners, 2014

Exports by Destination			Imports by Origin		
	Value (€, millions)	Share (% of total)		Value (€, millions)	Share (% of total)
1.) Germany	66,456	12.6%	1.) Germany	72,541	15.4%
2.) France	55,779	10.6%	2.) France	40,704	8.6%
3.) USA	39,570	7.5%	3.) China	33,278	7.1%
4.) United Kingdom	27,757	5.3%	4.) Netherlands	26,078	5.5%
5.) Switzerland	25,357	4.8%	5.) Spain	22,626	4.8%
6.) Spain	23,823	4.5%	6.) Russia	21,470	4.6%
7.) Belgium	17,547	3.3%	7.) Belgium	20,076	4.3%
8.) China	13,932	2.6%	8.) USA	16,597	3.5%
9.) Poland	13,706	2.6%	9.) Switzerland	13,996	3.0%
10.) Turkey	12,951	2.5%	10.) United Kingdom	13,375	2.8%
Total	528,368	100.0%	Total	471,660	100.0%

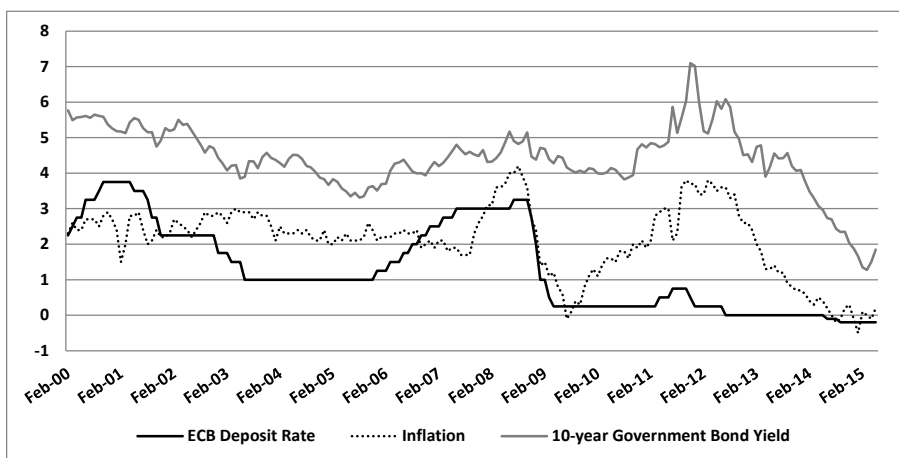
Source: Created by casewriters using data from United Nations, Comtrade Database, June 2015.

Exhibit 10 Government Debt, 1900–2014 (% of GDP)

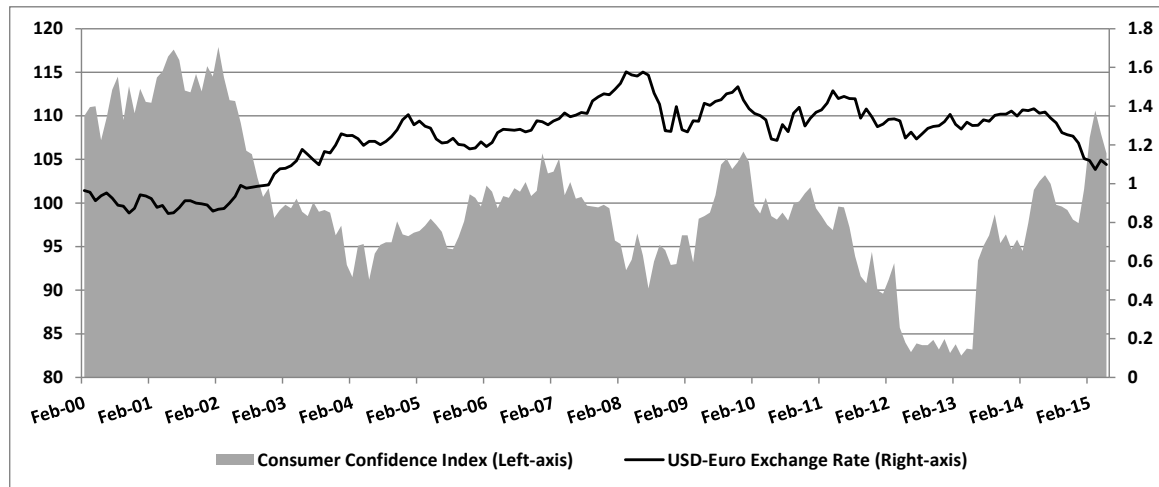
Source: Created by casewriters using data from Istat, National Institute of Statistics via Bloomberg, June 2015.

Exhibit 11 International Comparison: Gross Public Debt (% of GDP)

Source: Created by casewriter using data from the OECD iLibrary, June 2015.

Exhibit 12 Comparison of the ECB Deposit Rate, Inflation, and 10-Year Government Bond Yield

Source: Created by casewriters. ECB Deposit Rate data is from the European Central Bank, June 2015; inflation data is from Istat, National Institute of Statistics via Bloomberg, June 2015; government bond yield data is from Global Financial Data, July 2015.

Exhibit 13 Consumer Confidence (Index, 2005=100) and U.S. Dollar to Euro Exchange Rate

Source: Created by casewriters using data from Bloomberg, June 2015.

Exhibit 14 Employment, Productivity, and R&D Investment

	2000	2005	2008	2009	2010	2011	2012	2013	2014
Unemployment rate	10%	8%	7%	8%	8%	8%	11%	12%	13%
Unemployment rate-- Youth	NA	17.2%	15.0%	18.0%	20.0%	20.3%	25.1%	29.5%	31.4%
Trade Union Density	34.8	33.6	33.4	34.7	35.5	35.7	36.3	36.9	NA
Unit Labor Costs (2010=100)	75.3	88.2	95.7	100.1	100.0	100.7	102.1	102.7	103.9
EU Average	87.7	93.1	97.4	99.1	100.0	100.3	103.3	103.8	103.9
Labor Productivity (2010=100)	104.3	102.7	101.6	97.7	100.0	100.3	97.8	97.9	97.4
EU Average	91.4	97.7	100.0	97.3	100.0	101.6	101.5	101.9	102.2
Total Factor Productivity (% change)	2	0	-1.3	-3.4	1.8	0.3	-1	-0.3	NA
OECD Average	1.9	0.8	-0.9	-1.9	1.9	0.8	-0.3	0.2	NA
Gross Spending on R&D (% of GDP)	1.01	1.05	1.16	1.22	1.22	1.21	1.26	1.25	NA
OECD Average	2.14	2.16	2.29	2.34	2.30	2.33	2.37	2.40	NA
Researchers (per 1000 employed)	2.87	3.37	3.78	4.09	4.18	4.27	4.47	4.85	NA
OECD Average	6.08	6.91	7.15	7.49	7.50	7.69	NA	NA	NA

Source: Created by casewriters using various sources, June 2015. Unemployment rates are from Istat, National Institute of Statistics; unit labor costs and labor productivity statistics are from Eurostat; and data on R&D spending, number of researchers, and total factor productivity is from the OECD iLibrary.

Exhibit 15 Italy's Ranking on Doing Business, Competitiveness, and Corruption

World Bank's Ease of Doing Business Ranking		56 out of 189 countries	
Starting a Business	46	Protecting Investors	21
Number of Procedures	5	Disclosure Index (0-10)	7
Duration (days)	5	Shareholder Suits Index (0-10)	7
Cost (% of GNI per capita)	14.1	Investor Protection Index (0-10)	6.7
Paid in Min. Capital (% GNI per capita)	0	Enforcing Contracts	147
Dealing with Construction Permits	116	Number of Procedures	37
Number of Procedures	10	Duration (days)	1185
Cost (% of warehouse value)	3.7	Cost (% of claim)	23.1
Duration (days)	233	Resolving Insolvency	29
Registering Property	41	Time (years)	1.8
Number of Procedures	4	Cost (% of estate)	22
Duration (days)	16	Recovering rate (cents on the dollar)	62.8
Cost (% of property value)	4.4	Trading Across Borders	37
Paying Taxes	141	Number of documents for export	3
Number of Payments per year	15	Time for export (days)	19
Time (hours per year)	269	Cost to export (US\$ per container)	1195
Profit tax (%)	19.9	Number of documents for import	3
Labor tax and contributions (%)	43.4	Time for import (days)	18
Other taxes (%)	2	Cost to import (US\$ per container)	1145
Total tax rate (% profit)	65.4	Getting Credit	89
Getting Electricity	102	Legal Rights Index (0-12)	2
Number of Procedures	5	Credit Information Index (0-8)	7
Time (days)	124	Credit registry coverage (% of adults)	24.6
Cost (% of GNI per capita)	212.6	Credit bureau coverage (% of adults)	100
World Economic Forum's Competitiveness Report		49 out of 144 countries	
Transparency International's Corruption Perception Index		69 out of 179 countries	

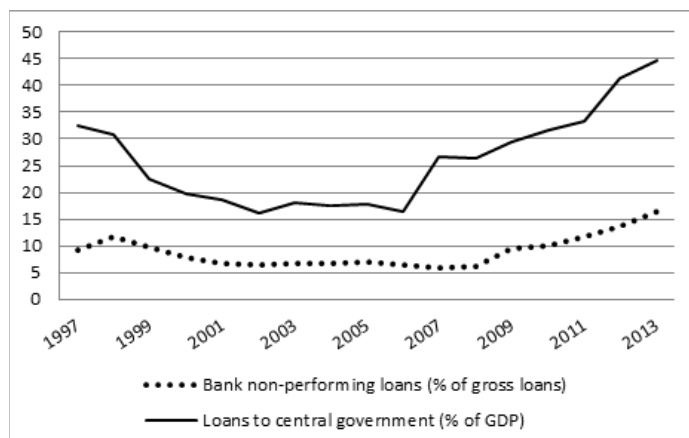
Source: Created by casewriters using data from the World Bank, *Doing Business Report, 2015*; Transparency International, *Corruption Perceptions Index, 2015*; and World Economic Forum, *Global Competitiveness Report, 2015*.

Exhibit 16 Balance of Payments, 2005–2014 (billions of USD)

	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Current Account	-29.7	-47.8	-51.6	-67.2	-41.2	-74.3	-70.0	-9.2	20.1	40.5
Trade Balance	0.5	-12.8	4.8	-4.0	-0.3	-29.1	-25.8	21.4	48.0	65.3
Exports	358.6	401.7	481.6	532.7	397.0	435.5	506.3	485.1	503.5	513.7
Imports	-358.0	-414.5	-476.8	-536.6	-397.4	-464.5	-532.1	-463.7	-455.4	-448.4
Net Services	-0.8	-1.2	-9.9	-15.6	-12.2	-12.4	-8.4	-0.3	1.8	0.8
Credit	89.7	100.0	113.1	116.5	97.3	100.7	110.6	108.4	112.7	116.8
Debit	-90.5	-101.2	-123.0	-132.0	-109.6	-113.1	-119.0	-108.7	-110.9	-116.0
Primary Income	-17.1	-17.1	-26.8	-21.3	-3.2	-6.1	-9.1	-5.2	-5.8	-3.5
Secondary Income	-12.3	-16.7	-19.7	-26.4	-25.4	-26.7	-26.7	-25.2	-23.9	-22.2
Capital Account	1.6	2.4	3.1	-0.3	0.4	0.1	1.3	5.1	0.3	4.2
Financial Account	25.3	30.9	37.7	56.7	59.7	116.8	97.6	20.7	-12.7	-66.0
Net Foreign Direct Investment	-21.1	-3.5	-52.1	-76.9	-1.7	-20.8	-17.3	-6.7	-4.7	-12.0
Assets	-40.8	-42.5	-92.1	-67.4	-18.3	-30.7	-51.8	-6.8	-24.2	-26.4
Debit	19.6	39.0	40.0	-9.5	16.6	9.9	34.4	0.0	19.5	14.4
Net Portfolio Investment	56.3	53.6	25.6	106.9	49.8	-57.4	-14.2	31.5	20.3	13.0
Credit	-108.1	-61.7	1.6	95.6	-56.1	-43.3	47.7	79.0	-27.3	-122.4
Debit	164.4	115.3	24.1	11.3	105.8	-14.1	-61.9	-47.4	47.5	135.4
Financial Derivatives	3.1	-0.6	0.7	0.2	6.7	-7.0	10.0	-7.6	-4.0	4.8
Other Investments	-13.0	-18.6	63.4	26.6	4.9	201.9	119.2	3.4	-24.3	-71.8
Reserve Assets	1.0	0.6	-1.9	-8.2	-9.0	-1.3	-1.2	-1.9	-2.0	1.2
Net Errors and Omissions	1.8	14.0	12.6	19.1	-9.8	-41.2	-27.7	-14.7	-5.7	20.2

Source: Created by casewriters using data from the International Monetary Fund, June 2015.

Exhibit 17 Italy's Financial Sector: Non-Performing Loans (% of gross loans) and Loans to Central Government (% of GDP)



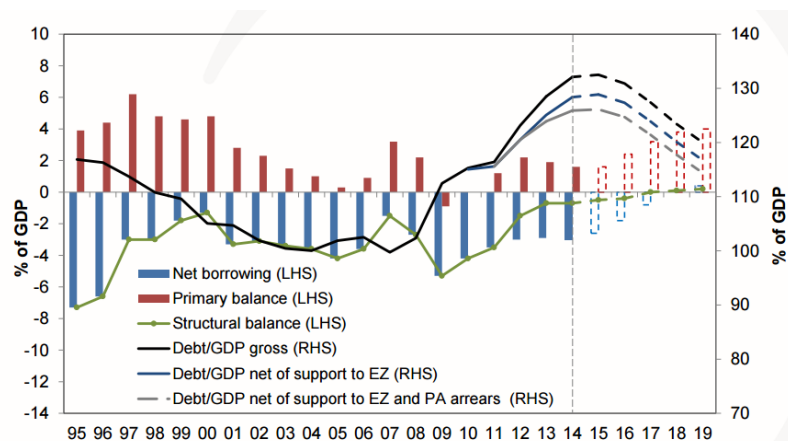
Source: Created by casewriters using data from the World Bank, Development Indicators Database, June 2015.

Exhibit 18 Renzi's Comprehensive Reform Strategy toward Economic Growth



Source: Dipartimento del Tesoro, Ministry of Economy and Finance, "Italy's Strategy for Reforms, Fiscal Sustainability and Economic Growth," April 24, 2015.

Exhibit 19 Renzi Government's Projection for Fiscal Spending and Debt



Source: Dipartimento del Tesoro, Ministry of Economy and Finance, "Italy's Strategy for Reforms, Fiscal Sustainability and Economic Growth," April 24, 2015.

Exhibit 20 Public Finance: Revenues and Expenditures of the Central Government (% of GDP), 1996–2014

	1996	2000	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Total Revenues	45.0	44.2	43.0	44.0	45.2	45.1	45.9	45.6	45.6	47.8	48.0	48.1
Current Revenue	44.6	43.8	42.5	43.7	45.0	44.9	44.9	45.2	45.0	47.4	47.4	47.6
Tax Revenue and Social Security	40.7	40.0	39.1	40.2	41.5	41.3	41.8	41.6	41.6	43.5	43.4	43.5
Direct Taxes	14.5	13.8	12.8	13.8	14.5	14.7	14.1	14.1	13.8	14.8	15.0	14.7
Indirect Taxes	11.6	14.4	13.9	14.5	14.4	13.6	13.4	13.9	14.1	15.2	14.8	15.3
Social Security Contributions	14.4	11.8	12.2	11.9	12.6	13.0	13.5	13.3	13.2	13.4	13.4	13.4
Total Expenditures	51.6	45.5	47.1	47.6	46.8	47.1	51.1	49.9	49.1	50.8	50.9	51.1
Total Expenditure excluding interest payments	40.5	39.4	42.6	43.2	42.0	42.9	46.7	45.6	44.5	45.6	46.1	46.5
Interest Payments	11.1	6.1	4.5	4.4	4.8	4.9	4.4	4.3	4.7	5.2	4.8	4.7
Current Expenditure	47.5	42.4	42.5	42.1	42.2	43.5	45.9	45.7	45.3	46.8	47.3	47.5
Final Consumption	17.7	17.9	19.6	19.5	18.9	19.4	20.6	20.4	19.6	19.6	19.6	19.5
Compensation of Employees	10.9	10.1	10.5	10.6	10.2	10.4	10.9	10.7	10.3	10.3	10.2	10.1
Social benefits	15.9	15.8	16.3	16.3	16.4	17.0	18.5	18.5	18.6	19.3	19.9	20.3
Capital Expenditure	4.2	3.1	4.6	5.5	4.5	4.4	5.2	4.2	3.8	4.0	3.6	3.6
Investment	2.7	2.8	3.0	2.9	2.9	3.0	3.4	2.9	2.8	2.6	2.4	2.2
Budget Balance	-6.6	-1.3	-4.1	-3.6	-1.6	-2.0	-5.2	-4.3	-3.5	-3.0	-2.9	-3.0
Primary Net Borrowing and Lending	-4.4	-4.8	-0.3	-0.9	-3.2	-2.2	0.9	0.0	-1.2	-2.2	-1.9	-1.6
Gross Public Debt	116.3	105.1	101.9	102.5	99.7	102.3	112.5	115.3	116.4	123.1	128.5	132.1

Source: Created by casewriters using data from Banca D'Italia, *Supplements to the Statistical Bulletin, Monetary and Financial Indicators*, June 10, 2015.

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